

AIESEC INDIA COMPENDIUM

Sub document
Entity Membership

The Entity Membership sub-document covers all necessary information on Membership Initiation (Entity Initiation), Membership Statuses as well as Membership Termination. The index below covers the headings of the sub-document.

Index

1. Membership Check Process
2. Types of Membership Statuses
3. Voting Members list of AIESEC in India
4. Member in Alert list of AIESEC in India
5. Member in Alert & Entity in Debt list of AIESEC in India
6. Entity in Debt list of AIESEC in India
7. Voting Member Criteria for Entities
8. Member in Alert Regulations
9. Entity in Debt Regulations
10. Initiation and Review Process for Expansion Initiatives
11. Expansions Check Process
12. Criteria for Expansions upgradation:
13. Entity Reset
14. Initiation of Start-up Level 1
15. Initiation of Start-up Level 2
16. Initiation of Start-up Level 3
17. Initiation of Entity
18. Termination of Membership
19. Initiation of National Expansions
20. National Expansions to SU/UR/ Shut down

1. The following process is followed for Membership Check:

- 1.1.** The MSC is responsible to conduct a Membership check before each legislative conference. The Membership check shall consist of, but not be limited to, the following:
 - 1.1.1.** Proof of fulfilment of Exchange Criteria
 - 1.1.2.** Proof of fulfilment of Reserve Criteria
 - 1.1.3.** Proof of MC-LC Dues and LC-LC Dues
 - 1.1.4.** Proof of Mandate Fines
 - 1.1.5.** Proof of TM & F Audits
 - 1.1.6.** ICB/ECB Cases Track Record
 - 1.1.7.** Debt Repayment Plan (if applicable)
 - 1.1.8.** Entity Development Plan (if applicable)
- 1.2.** Failure to submit/complete the required document(s) by a member of AIESEC in India during a Membership Check within the deadline will implicate a mandate fine on the member and cause a review for status change to MiA by the MSC and MC.
- 1.3.** The membership subcommittee has the right to call any member that is not in alert for review if it considers that the member has stagnated performance or is at risk of becoming a Member in Alert.

2. There are 4 types of membership statuses for Entities:

- 2.1. Voting Member
- 2.2. Member in Alert (MiA)
- 2.3. Entity in Debt (EiD)
- 2.4. Member in Alert + Entity in Debt (MiA + EiD)

3. The following are the Voting Members of AIESEC in India:

- 3.1. AIESEC in Ahmedabad
- 3.2. AIESEC in Hyderabad
- 3.3. AIESEC in Jalandhar
- 3.4. AIESEC in Ludhiana
- 3.5. AIESEC in M.A.H.E.
- 3.6. AIESEC in Pune
- 3.7.

4. The following are the Member In Alerts (MiA) of AIESEC in India

- 4.1. AIESEC in Bengaluru (Year 1)
- 4.2. AIESEC in Mumbai (Year 1)
- 4.2. AIESEC in Navi Mumbai (Year 1)
- 4.3. AIESEC in Visakhapatnam (Year 1)

5. The following are the Member in Alert and Entity in Debt (MiA + EiD) of AIESEC in India

- 5.1. AIESEC in Delhi University (Year 3)
- 5.2. AIESEC in Indore (Year 3)
- 5.3. AIESEC in Jaipur (Year 2)
- 5.4. AIESEC in Kolkata (Year 4)
- 5.5. AIESEC in Patiala (Year 2)
- 5.6. AIESEC in Surat (Year 2)

6. The following are the Entity in Debt (EiD) of AIESEC in India

- 6.1. AIESEC in Chandigarh (Year 1)
- 6.2. AIESEC in Chennai (Year 1)
- 6.3. AIESEC in Delhi IIT (Year 3)

7. The following are the criteria for Voting Member:

- 7.1. Performance Criteria: 23 Realized Exchanges, and a total revenue (Operations + Business Development not inclusive of recruitment) of INR 5,00,000/- from NLS MSc Check to next NLS MSc Check.
- 7.2. All mandated fines are to be cleared by the end of the year and will be checked before NLS.
- 7.3. No LC Dues to the MC/other LCs. However, in the case of LC-LC dues, the dues must exist for more than a month before a legislative meeting to be considered here. For

example, If Legislation is on 2nd January 2022, All LC dues till 2nd December 2021 not cleared till 2nd January 2022 will be considered.)

7.3.1. In the case of LC-LC dues, the budget must be discharged for more than a month before a legislative meeting to be considered here. (For example, If Legislation is on 2nd January 2025, the budget must have been discharged on/before 2nd December 2024 will be considered.)

7.3.2. LC Dues to MC to be cleared as per the sub doc S Finance Policy 2.3.1.2.

7.4. The Hosting LC must submit the discharge report on or before 45 days after the end of the conference.

7.5. The LC reserve to be maintained as per the sub doc L Reserve Policy 5.3.2

7.6. A maximum of 2 monthly audits(TM and/or F) can be defaulted (Late/Incomplete/Incorrect) in a span of one year at the time of consideration.

7.7. Exchange Compliance:

7.7.1. No ICB Case was lost between every legislative conference.

7.7.2. An Entity can hold a maximum of 1 ECB case lost per 50 exchanges done in the last year since the case in question was lost. In case more cases are lost, the LC will lose its Voting Member Status.

7.7.3. LCs having Level 5 severity (refer to clause 1.5.3, sub-document R_Quality Control and Assurance) as per Compliance Matrix as communicated by the ECB will automatically result in repercussions of a fine followed by losing Voting Member Status from Legislative to Legislative Meeting.

7.7.3.1 For all succeeding offenses, a fine will be levied, followed by the LC losing Voting Member Status, and any other repercussions as mentioned by OPSc.

7.7.4. If an entity loses an ESC case about illegal opportunity auditing in an LC term, then it shall result in an entity becoming a Member in Alert.

7.7.5. If an entity loses 2 ESC cases about the market breach in an LC term, then it shall result in an entity losing its Voting Member Status

7.8. ESc Flagging System:

7.8.1. If an entity receives 2 Red Flags as per the ESc Flagging System, it would result in the entity losing its Voting Member status.

7.8.2 The list of documents to be submitted for the **MSc Check for AGM** includes, but are not restricted to:

7.8.2.1 Financial Policies

7.8.2.2 Internal Policies

7.8.2.3 OPSc Market Contracts (if needed)

7.8.2.4 Year Plan (Discharged & Ratified)

7.8.2.5 Budgets (Discharged & Ratified)

7.8.2.6 Chair & RO Undertaking

7.8.2.7 ESc Clearance for Chair & RO

7.8.2.8 Invitation to Forum

7.8.2.9 Proof of Presentation of Budget and Internal Policies to be submitted during the AGM Check

7.8.2.10 Minutes of the Forum to be submitted in the following template. The template can be found [here](#).

7.8.2.11 The Discharge Report of the Outgoing EB must include the outstanding MC Liability if any, and the yearly plan of the Incoming EB must include the payment plan for the Same.

7.8.2.12 Ratification and Discharge Voting Forms to be created by the Chair and shared with the Entity Coach and MCVP OD 72 hours prior.

7.8.2.13 AGM to be done on or before the 10th February. [if not done by 10th February need to extension from MCVP OD]

7.8.2.14 AGM invites to be shared to the entity 72 hours prior to the commencement of the forum.

7.9. The list of documents to be submitted for the MSc Check for AEM includes, but are not restricted to:

7.9.1 A chairperson and returning officer shall be appointed and ratified a minimum of 3 days before elections through a google form. [Click Here for the sample]

7.9.2. The date of the AEM should be announced to the members of the entity at least 14 days before the AEM via a mail to the entity.

7.9.3. The application booklet for the position of Entity Head must be released to the members of the entity a minimum of 11 days before the AEM.

7.9.4. All Entity Head candidates must be announced to the members of the entity along with their manifestos 3 days before commencement of the AEM.

7.9.5. Minutes of AEM to be submitted in the following template. The template can be found [here](#).

7.9.6. Chair and RO Undertaking

7.10. Compulsory LCP elections each year before the stipulated timeline of the National President's Conference in the month of October/November. If any LC is unable to conduct elections by that timeline, reasons for the same need to be given to the MCP minimum of 10 days before the National President's Conference. In the absence of such information, any delay in LCP Elections beyond the stipulated timeline will result in the LC being reset at the NLS at the discretion of the MCP in consultation with the governing body.

7.10.1. In the case of virtual elections, a recording of the meeting is mandatory.

8. Member in Alert:

8.1. If a Entity fails to fulfill the Membership criteria as laid down in the sub document G_Entity Membership , the LC's status will be changed to Member in Alert. A Member in Alert does not have Voting Rights in any Legislative Meeting.

8.2. The Membership subcommittee shall be responsible for reviewing the Member in Alert's situation before/at every legislative conference.

8.3. A Member in Alert, failing any criteria mentioned in Clause 1, with the input of the Membership Subcommittee and MCVP OD, will create an entity development plan (to regain Full Membership) before every next legislative meeting. The development

plan will outline the responsibilities of all parties with concrete action steps to be fulfilled.

- 8.3.1. The following sanctions apply to members on alert based on the number of years they have been on Member in Alert status:

Number of years as MiA	Sanction
First-year running (0-1)	1. Cannot Apply for or receive any National Awards
Second-year running (1-2)	1. Cannot Apply for or receive any National Awards 2. Cannot Submit any conference hosting bids 3. Must report quarterly progress on the Entity Development Plan in a format as prescribed by the MSC/MC to the National Plenary 7 days before legislative meetings. 4. Cannot take up any Expansion initiatives.

- 8.3.2. At the end of the second year, the entity will automatically disbanded.

- 8.3.2.1. The initial status change of the LC will hold precedence when repercussions are mapped out. (For example- if an LC becomes MiA first and then close to the end of the 2nd Year running as MiA, status is changed to MiA + EiD, repercussions of MiA will take precedence.)

- 8.3.2.2. MiA + EiD and become MiA due to non-fulfillment of reserve criteria/non-clearance of pending LC-LC/MC dues will not be Disbanded. Instead, the repercussions of being an Entity in Debt as described in the compendium will hold precedence.

9. Entity in Debt:

- 9.1. If any member is in debt towards the MC/another LC for more than a period of 6 months, they will be liable to the implications of Entity in Debt.
- 9.2. Entities in Debt will get an added service of mandatory visits for all portfolios once a year, the end responsible for the same are MCVP F&L and MCVP OD.
- 9.3. EiD Year 2 and 3 cannot take up expansion initiatives.
- 9.4. A LC with the status of EiD must submit a report as mandated by the FSC/MS, at the time of the bi-annual Membership check.
- 9.5. An EiD can exist for a maximum of 3 years. Post which they are to be automatically disbanded.
- 9.6. The AIESEC in India Reserve criteria is applicable
- 9.7. The Membership and Finance Sub-Committees are responsible for assessing the bi-annual report and providing a recommendation to the National plenary. The options include (but are not limited to)
 - 9.7.1. Propose to disband the EiD.
 - 9.7.2. Propose to continue the EID with a renewed development plan

9.8. Implications on consecutive defaults for all Entities in Debt:

9.8.1. Defaulting 2nd Year of Debt Clearance Plan:

- 9.8.1.1. The Annual Budget presented at AGM needs to be approved by the Chair of FSC before ratification. Proof of the same needs to be submitted to MSC for AGM Check.

9.8.2. Defaulting 3rd Year of Debt Clearance Plan:

- 9.8.2.1. At the end of the 3rd year, the LC is automatically disbanded.

10. The following is the process for initiation and review of the Expansion Initiative of AIESEC in India LCs:

- 10.1. The MSc is responsible to open the membership application process annually as per the feasibility and recommendation from the MC and MSC for LCs of AIESEC in India to register new markets as Startups. The MSc will open bids for entities based on their performance for the year.
- 10.1.1. Whether or not the expansions will be subjected to a bidding process will be decided by the MSc and MC's recommendation. If any expansion is being re-allocated or up for bid, all existing accounts and financial liabilities need to be cleared by the current Parent Entity before handing it over to the new Parent Entity.
- 10.2. Any full member of AIESEC in India can submit an application after having received consent from the MC and MSC to initiate a Startup. For the same, they will require the following supporting documents:
- 10.2.1. Market Research
- 10.2.2. Feasibility Report
- 10.2.3. Other documents (if asked)
- 10.3. The following will be the New Market Registration process for LCs to bid for new markets as Startups:
- 10.3.1. The bids for initiating new markets would be launched after JNC.
- 10.3.2. The MSc must launch the Bidding process for new markets on or before 30 days after the end of the JNC conference.
- 10.3.3. The market will be allocated to the parent LC which will be considered as Gestation Period for the new market. The application would be reviewed and allocated by MSc & MCVP Expansions.
- 10.3.4. After Allocation, The parent LC must run operations in the allotted entity for 2 quarters to assess the feasibility of the entity before final bids.
- 10.3.5. The Parent LC must prepare a report at the end of each quarter (as part of Expansions MSc check) that would be reviewed by MCVP Expansions and MSC before final allotments at NLS.
- 10.3.6. The number of members onboarded (Minimum of 5) & operations done would be considered during market registration.
- 10.3.7. The market registration will be performed through a vote by Focus after MSc & MCVP Expansions present the report at NLS NLM about

the market response during gestation period. If MSc & MCVP Expansions feels the new market doesn't have shown significant results, they can take a decision to not open the market for the final allocation. However the market can be re-opened for bid at JNC again.

10.3.8. SUs can only be initiated with only 2 exchange products, unless approved by MCVP Expansions during market registration.

10.4. The MSC along with the MC will be responsible to review all relevant documents and upgrade entities that are Startup Level 1 to Startup Level 2 and/or Startup Level 2 to Startup Level 3 and/or Startup Level 3 to an Entity of AIESEC in India. For the same, the approval remains under the discretion of MC and MSC.

11. Expansion Check

11.1. The following process is followed for Expansions Check:

- 11.1.1. The MSc is responsible to conduct an Expansions Check before every legislative meeting. The Expansions Check will consist of, but not be limited to, the following:
 - 11.1.2. The proof of ESc Clearance of the Entity
 - 11.1.3. The proof of ECB Track Record
 - 11.1.4. The Progress Check Report

11.2. Any Expansion Entity has to clear the MSc Expansions Check to upgrade in the following year. Any defaults in the MSc Expansions Check may lead to failure of up-gradation of the entity.

12. The following are the criteria for Expansions upgradation:

- 12.1. Performance criteria needs to be met before NLS as mentioned in clause 15.2, 16.1 & 17.1 of sub document_G Entity membership of AIESEC in India compendium.
- 12.2. If an Expansion entity loses an ECB case, the entity will not be able to apply for upgradation.
- 12.3. A maximum of 3 monthly audits(TM and/or Expansions) can be defaulted(Late/Incomplete/Incorrect) from NLS to NLS.
- 12.4. No ESC Cases were lost in the following category in an entire year from every NLS to NLS:
 - 12.4.1. If an entity loses an ESC case about illegal opportunity auditing in an entire year,
 - 12.4.2. If an entity loses 2 ESC cases about the market breach in an entire year.
- 12.5. Compulsory SUP elections each year before the stipulated timeline of the National President's Conference in the month of October/November. If any SU3 is unable to conduct elections by that timeline, reasons for the same need to be given to the MCVP Expansions minimum of 10 days before the National President's Conference. In the absence of such information, any delay in SUP Elections beyond the stipulated timeline will result in the SU3 to be disbanded at the NLS at the discretion of the MSc in consultation with MCVP Expansions.
 - 12.5.1. AEM Check will be conducted along with NPC Expansions Check at which all SU3 have to submit the Minutes of AEM (in the prescribed format given by MSC) along with the Chair and RO Undertaking.
 - 12.5.2. In the case of virtual elections, a recording of the meeting along with Minutes and Chair and RO Undertaking is mandatory.

- 12.6. SUD/SUP Contracts, Year Report (discharge and ratification presentation), have to be submitted to the MSC as a part of the MSC Expansions Check along with any other documents that are asked for by the MSC. MNC MSc default might affect up-gradation of the entity during final NLS Check as per the discretion with MCVP Expansions.
- 12.7. Compliance with MSC checks as mentioned in sub document G_Entity Membership Clause 11.
- 12.8. Entities having Level 5 severity (refer to clause 1.5.3, sub-document R_Quality Control and Assurance) as per Compliance Matrix as communicated by the ECB will automatically result in the entity losing Expansions Membership Check.
- 12.9. SUs to ensure the presence of at least 1 representative from the SUs, at least two National/Regional Conferences from NLS to NLS.
- 12.10. A maximum of 2 Expansions Membership check can be defaulted (Late/Incomplete/Incorrect) from NLS to NLS. Failing to which will affect the MSc report at NLS NLM for entity upgradation.
- 12.11. Once the SU is upgraded to LC. The money to be transferred to the SU3 from the parent entity to be 50-50 after calculating and removing all expenses and for SU2 to 60-40.

13. Entity Reset:

- 13.1. When an entity resets, the entity will be re-initiated as a Startup Level 1.
- 13.2. The following process will be applicable to the reset:
 - 13.2.1. If the net equity of the entity at the time of reset is negative, then the liability will be tracked by MSc along with FSc till the time the entity is upgraded to an LC. If the entity fails to upgrade to an LC through the expansions model and gets disbanded, the outstanding negative equity would then be equally distributed among the rest of the LCs (All LCs) in the subsequent recon invoice.
 - 13.2.2. If the net equity of the entity at the time of reset is positive, then the assets will be transferred to the National Reserve and tracked by MSc along with FSc till the entity is upgraded to an LC. If the entity fails to upgrade to an LC through the expansions model and gets disbanded, the outstanding positive equity would then be a part of the National Reserve.

14. Initiation of Startup Level 1:

- 14.1. A Startup can only be initiated after the MC and MSC have received the bids. All parameters and timelines mentioned in the expansion bids released by the MSC must be adhered to.
- 14.2. Any Startup can carry out operations only in the Outgoing Exchange portfolios unless otherwise recommended by the MC and MSC.
- 14.3. A Startup needs to have a minimum of 5 members from the college/university of operation.
- 14.4. A Startup Level 1 can continue to function/exist for a maximum period of 1 year and the criteria to be upgraded needs to be met within the same time.
 - 14.4.1. Failure to upgrade the SU1 in the time frame will open it for bids. If

no feasible Parent LC is found, it will result in the entity being disbanded.

- 14.5. Failure to meet this criterion at the end of its second year of operation shall result in the Startup being disbanded.
- 14.6. A Startup needs to sign an MoU with the Parent LC by appointing a Startup Director and the same needs to be submitted to the MSC.
- 14.7. A Startup Level 1 can be shut down at JNC after a review by the MSC if a parent LC or MC requests for it.

15. Initiation of Startup Level 2:

- 15.1. A Startup Level 1 that fulfills the upgradation criteria will be upgraded to Startup Level 2 subject to the supporting documents submitted by the Parent LC.
- 15.2. To upgrade a Startup Level 1 to a Startup Level 2, the entity must complete 10 Realised Exchanges within the 1 year of initiation as a Startup Level 1. For the upgradation of a Startup Level 1 to a Startup Level 2, the following documents need to be submitted
 - 15.2.1. Colleges that AIESEC can be present in and how many students in each college.
 - 15.2.2. Detailed Operational Plan of 2 years leading to upgradation to Entity
 - 15.2.3. Budget as per MC Guidelines
 - 15.2.4. Expansion entity's OS (Mandatory EB Structure)
 - 15.2.5. Recruitment Plan
 - 15.2.6. Feasibility Report as per MSC and MC guidelines.
 - 15.2.7. An MoU must be signed between the SUD and LCP within 1 month of the date of the Startup being formed regarding services in the presence/acknowledgment of the MCVP Expansions regarding services and support that will be provided by the Parent LC. The MoU must contain:
 - 15.2.7.1. Financial Support as per the Parent LC Services document
 - 15.2.7.2. Services the Startup will receive from the Parent LC, amongst others.

16. Initiation of Startup Level 3:

- 16.1. To upgrade a Startup Level 2 to Startup Level 3 the entity must complete 15 Realised Exchanges and a total operational revenue (Operations + Business Development not inclusive of recruitment) of Rs. 2,50,000/- within a maximum period of 2 years from the time it was upgraded to a Startup Level 2.

17. Initiation of Entity:

- 17.1. To upgrade a Startup Level 3 to an Entity the entity must complete 20 Realised Exchanges and a total operational Revenue (Operations + Business Development not inclusive of recruitment) of Rs. 4,00,000/-.

18. Termination of Membership:

- 18.1. The membership Sub Committee at the National Leadership Summit will review the situation of all members and make a decision regarding the removal of membership.
 - 18.1.1. Failure to meet the expansion criteria for a Startup Level 1 to a Startup Level 2 at the end of its first year of operation shall result in the market being opened to bid for. If no bids are received, the Entity shall be Disbanded.
 - 18.1.2. A Startup Level 1 can take a maximum of two years to upgrade to a Startup Level 2.
 - 18.1.2.1. An entity failing to achieve the criteria after the period of two years will automatically be disbanded.
 - 18.1.3. A Startup Level 2 can take a maximum of three years to upgrade to a Entity.
 - 18.1.3.1. The maximum of three years is split into the form of a maximum of two years taken to upgrade from a Startup Level 2 to a Startup Level 3.
 - 18.1.3.1.1. An entity failing to achieve the criteria after the period of two years will automatically be disbanded.
 - 18.1.3.2. If an entity upgrades from a Startup Level 2 to a Startup Level 3 by achieving the criteria in the span of one year, the entity will have a period of two years to upgrade from a Startup Level 3 to an Entity.
 - 18.1.3.2.1. An entity failing to achieve the criteria after the given time period will automatically be disbanded.
 - 18.1.4. A Startup Level 3 can take a maximum of two years to upgrade to a Entity.
 - 18.1.4.1. An entity failing to achieve the criteria after the period of two years will automatically be disbanded.
- 18.2. Whether or not the expansion will be subjected to a bidding process will be decided by the MSC and MC's recommendation. If any Start-up is being re-allocated or Up for bid, all existing accounts and financial liabilities need to be cleared by the current parent Entity before handing it over to the new parent Entity.
- 18.3. When an SU 1 is disbanded, it is subject to a two-year period of inactivity (The market will have zero AIESEC activity for two years to give the market a reset). Following the resting period, the market will be open for bids with the consultation of MCVP Expansions.
- 18.4. Start-up 1 & Start-up 2 to have a Start-up director before the stipulated timeline in the month of November. If any SU 1 or SU 2 is unable to conduct selections by that timeline, reasons for the same need to be given to the MCVP Expansions minimum of 10 days before the National Leadership Conference. SU 1 or SU 2 along with Parent Entity should submit a report at NLS to come up with a way forward to onboard SUD before the July National conference. In the absence of such information, any delay in SUD selections beyond the final stipulated timeline of the July National Conference will result in the SU 1 & SU 2 being automatically disbanded at JNC at the discretion of the MSc in consultation with MCVP Expansions
- 18.5. Expansion entities will be automatically disbanded if there are no bids done by the Parent entity as per the discussion with MCVP Expansions.

19. Initiation of National Expansions

- 19.1. The MSc is responsible to open the National Expansions process annually as per the feasibility and recommendation from the MC to register new University/College as a National Expansions.
- 19.2. If the MC finds a potential university/college across India, the MC shall submit a feasibility report to MSc.
- 19.3. This Potential Market shall be referred to as "National Expansion". The MC Shall establish UR and carry out attraction activities via the UR built and not on ground.
- 19.4. If the MC finds a potential university/college in an LC area/market, the LCP will be notified regarding the initiation. if any objections occur , the objections shall be cleared out before proceeding to open the market.
 - 19.4.1. If LCP is still not onboarded with the initiation of National Expansions in their market, then they can appeal to MSc and MCVP Expansions within 72 hours of notification being sent to the focus about the initiation of New National Expansions.
- 19.5. An MC at any given point of time can only run 4 National Initiatives/ URs.
- 19.6. The MC can run a National Expansion Market for maximum span of 2 years

20. National Expansions to SU / UR/ Shut down:

- 20.1. After two years if the National Expansion Market achieves the RE target of that of an SU2 , then it is open for bids for LCs.
 - 20.1.1. Whether or not the National Expansion will be subjected to a bidding process will be decided by the MSC and MC's recommendation. If any Official National Expansions is being re-allocated or Up for bid, all financial liabilities will be cleared by the MC before handing it over to the new parent Entity.
- 20.2. After two years if the National Expansion Market doesn't achieve the RE target of that of an SU2 , then it shuts down
- 20.3. In case of National Expansions in an LC area, the National Expansions will be handed over to the LC (either as a SU1 or as a UR), the LC shall focus exclusively on exchanges for a period of one year. During this time, they shall not recruit new members.
- 20.4. National Expansions will be automatically disbanded if there are no bids done by any Entity as per the discussion with MCVP Expansions.